# Independent Wealth Management and NBIN

## Overview

This guide is an introduction to the industry of independent wealth management and the various roles NBIN plays for our three types of clients: Portfolio Managers, Introducing Brokers, and Investment Fund Managers.

## Independent Wealth Management

Independent wealth managers help end investors create financial plans and manage their money mainly through investments such as stocks, bonds, and investment funds.

Most investment advisors who are not part of an independent firm, are employed by banks and insurance companies. Within this environment, they benefit from the infrastructure of their parent companies such as technology and compliance oversight. Given the support they receive, the advisors typically share a portion of their revenue with the parent company. They also are limited at times, to pre-approved investment products and strategies.

A fully independent wealth management firm is not owned by a large financial institution and therefore requires a custodian/carrying broker to support their end clients through administrative services and participation in capital markets.

Going independent means to:

- Be an entrepreneur and own your own business,
- Have the ability to create the culture of your firm and establish your own unique brand,
- Have full control over the suite of services you provide to your clients (financial planning, tax planning, estate planning, etc.) and build a unique business with its own value proposition,
- Prioritize your time and energy based on the needs of your clients,
- Offer unconflicted financial advice with access to unlimited financial solutions and investment products,

> Allow for potential enhanced revenue.

## NBIN's Purpose

NBIN is the leading provider of custody, trade execution and brokerage solutions to independent wealth managers. NBIN offers custodial services to Portfolio Management (PM) firms and carrying broker services to Introducing Broker (IB) firms.

The following are the main functions that NBIN offers to both PMs and IBs.

> **Custody of Assets**

A custodian is an institution that maintains the custody of assets. In the business world, a custodian is usually a bank or any other financial institution that is responsible for ensuring the safety of assets that are handed over for safekeeping. Such assets include financial securities such as stocks, bonds, and certificates of deposit. A custodian provides such safekeeping services to investors. The financial institution not only holds these assets safely but also provide an overview of the asset's value over time. The custodian also provides the services of purchasing and selling such assets on behalf of the investor. In this case, the custodian takes full responsibility when ensuring that the assets are properly taken into custody and accounted for, and in the case of a sale, that the assets are properly delivered and agreed payment terms are met.

> **Direct Market Access**

Wealth managers, on behalf of the account holders, need access to the different financial markets (stock market, bonds market, derivatives market, etc.) to place buys and sells in portfolios. Wealth managers need to directly be or have access to a firm that is a stock market participant. NBIN, through National Bank of Canada, is a stock market participant on the Canadian exchanges, allowing NBIN to execute, clear, and settle trades.

Trade execution and settlement include tracking, settling, and reconciling assets that are acquired (bought) and disposed of (sold) by the delegated authority on the account. Clearing services is the procedure by which all the buy and sell orders match and where the correct amount of funds goes to the seller and securities to the buyer. NBIN acts as the intermediary and assumes the role of tacit buyer and seller to reconcile orders.

> **Transfers**

NBIN facilitates all transfer requests based on all CIRO industry regulations and our own service level agreements. When a transfer is initiated, it will be processed as either an ATON (Account Transfer Online Notification) or Non-ATON request.

Typically, ATON participants are larger financial institutions who pay to leverage this automated and efficient account transfer service.

The ATON process enables the electronic transfer of client assets between financial intermediaries by automating the exchange and confirmation of requests. Upon confirmation by the receiver, the assets are transferred to the receiving institution via Canadian Depository Services (CDS) for Canadian holdings and Depository Trust Company (DTC) for US holdings, and/or FundServ for mutual funds.

Non-ATON transfers require documentation to be passed between the receiving and delivering institution manually and all requests are sent via mail, courier, messenger or fax.

> **Reporting and Statements**

NBIN acts as the record keeper that provides timely account reports outlining clients' holdings and transactions that occurred over a given timeframe.

For PMs where NBIN acts as a custodian, the clients open accounts directly at NBIN. For these investors, NBIN has the regulatory responsibility to issue at a minimum, quarterly statements that include the opening and closing cash balances and security positions as well as all transaction history for that period. In addition, to satisfy the Client Management Relationship Model 2 (CRM2) requirements, NBIN provides an annual *Fees and Compensation Report* to all clients.

Typically, PMs provide their own quarterly performance reports to their clients completely independent of the asset report received from the firm. On an annual basis, PMs are also required by CRM2 to provide a rate of return and a *Fees and Compensation Report* to all clients.

As a carrying broker, NBIN generates quarterly statements on behalf of an IB with their logo and letterhead based on their CIRO requirements. IBs are required to produce an annual CRM2 report.

NBIN, on an annual basis, generates all required tax reporting and files these with Canadian Revenue Agency based on regulatory requirements.

## Increased Responsibilities for Independent Wealth Managers

When shifting from a larger institution into the entrepreneurial world, independent wealth managers must consider new responsibilities and develop new ways to operate in response to:

- Extensive industry regulations including Know Your Client (KYC) and Know Your Product (KYP) and adhering to all fiduciary responsibilities namely operating in the best interest of the client,
- Increased responsibility for risk management (regulatory, legal, operational, market performance, etc.) by creating policies and procedures that satisfy the regulatory requirements that protect the firm and their clients,
- A need to leverage available technologies to ensure efficient data integration and accurate report creation,
- The requirement of conducting forensic investigations if a client submits a complaint.

## Business Models

There are three business models wealth managers can embrace when considering going independent.

- Full Independence: Creation of their own new PM or IB firm.
- Independent Partnership: An advisor partners in ownership with an existing independent business.
- Employee of an Independent: An advisor joins an existing independent business as an employee to participate in the benefits of that environment.

## Portfolio Management Firms

As of 2022, NBIN partners with over 300 PM firms like Quintessence Wealth Partners, Newport Private Wealth Inc., Nicola Wealth Management Ltd., and family-owned businesses like COTE 100, across Canada.

They manage investment portfolios on behalf of private individuals, pensions, and entities. They provide advice and trade within a discretionary environment, meaning they can make investment decisions on behalf of their clients. While the investors accounts are opened directly with NBIN, it is the PM who is responsible for the client relationship which includes most of the client interaction and communication.

PM firms are registered with their respective provincial securities commission. To obtain this, they must have a professional designation such as the CIM or CFA in addition to years of experience as an advising representative.

PM clients need to open an account with a custodian where they provide discretionary trading authority over the account. This means that the client (in conjunction with the PM) completes NBIN new account documentation where the Portfolio Manager is responsible for identity verification. Additionally, the PM is responsible for all suitability which is included in their own account opening documentation.

Traditionally, most PM firms were focused on only wealth management while a minority offered additional services such as financial planning, tax, and estate planning. In recent years, we have seen a trend where PMs now provide a more wholesome fully integrated approach. PM firms are characterized by:

> High net worth accounts holders having reached the minimum asset requirements to become clients.

> Opening fee-based accounts and charging transparent management fees as a percentage of assets under management (AUM),

> Being regulated provincially while the Canadian Security Administrators (CSA) improve, coordinate, and harmonize regulation of the Canadian capital markets.

They need a custodian to fulfill standardized obligations and functions described in the *NBIN's Purpose* section above. Working with a custodian allows for:

> A separation of duties which includes additional controls and policies to ensure the integrity and safeguarding of assets to provide confidence to investors as a third party,

> A solid existing internal set of rules and procedures to ensure compliance (Qualified Intermediary (QI), Anti Money Laundering, etc.). A *New Client Application Form* (NCAF) is required when opening new accounts and is designed to gather all required information to satisfy the regulators requirements like QI, FINTRAC/AML, Common Reporting Standards (CRS), etc.,

> A full range of investment products and account types,

> Access to research, technology, and specialized administrative support,

> Tax information to be calculated and reported to provincial and federal governments.

Their main source of revenues is through management fees charged to their clients, which represent the cost of having assets professionally managed. They are processed by NBIN but paid directly to the PM and are subject to taxes. They are calculated as a percentage of AUM, where the higher the market value of the assets, the higher the fee. Therefore, even without placing buys and sells, the PM is still compensated. Accounts managed by a PM must be offered on a discretionary basis.

For example, a PM firm has just taken on new clients, Mr. and Mrs. Smith, who have $1MM of assets to invest. The firm enters into a PM agreement with the clients, which means the firm can manage their money on a day-to-day basis without having to check in with them, as long as it is within the confines of the *Investment Policy Statement* (IPS). The firm charges 1% of the value of the assets on the account, $10,000 per year, billed quarterly.

For NBIN, the primary sources of revenue, as a custodian, are commissions on trades, custody fees as a percentage of the assets held in the clients account at month end and net interest margin.

## Introducing Brokers

As of 2022, NBIN partners with over 50 IB firms across Canada, including Industrial Alliance Private Wealth (AIPW), Wellington Altus Private Wealth, HSBC InvestDirect, and IPC Securities.

IBs introduce client accounts to a clearing broker dealer (carrying broker) and act as full-service brokers by being the middleperson between brokerages and the exchange market. They are categorized from Type 1 to 4, with an increasing responsibility regarding compliance and capital.

Typically, an advisor within an IB firm runs a non-discretionary business, meaning they must contact (solicit) the end-client to obtain their approval before a trade is executed. If they choose to become a discretionary advisor, they must obtain a CIM or CFA designation and register with CIRO as a discretionary money manager (PM) through their dealer (IB firm).

An IB can be self-clearing. However, if they do not have that back-office infrastructure, they will need a carrying broker to outsource and perform all back-office duties while requiring less infrastructure and capital. A carrying broker allows independent firms to enter the business and provide full service to their clients without bearing the large start-up and maintenance costs of operating a back-office. It also allows established firms such as National Bank to lower the costs of operating their back-office through economies of scale part of which will benefit the IBs.

The IB uses the back-office services offered by the carrying broker. Working with a carrying broker allows for:

- Segregation of client assets, meaning NBIN separates the clients' assets from the corporate assets so that the investors' money is safe in the event NBIN seized operations,

- Reporting and remittance to CRA,
- Processing of dividend and income transactions and corporate actions,
- The financing of client positions,
- Monthly statements generation,
- Access to other value-added services like banking products, access to research and new issues, online access for retail clients, lending of fully paid securities if the firm is approved to do so, etc.

Contrary to PM firms, NBIN caters the level of service according to the IBs' needs. Some are self-opening, meaning they open and manager their own accounts, some have their own trustees like HSBC and IAPW, some produce their own statements and, some even are their own QI.

As a carrying broker, NBIN must also make available the CIRO standard reports (see *Annex III*) that run daily, weekly, bi-weekly, or monthly and are typically made available via S*FTP* or *Web Panagon*.

Some IBs' main source of income is trading commission, therefore minimum assets requirements for account holders are lower than PM firms. Commission-based revenue is generated from equity, fixed-income, and investment funds and rates depend on the type, size, and value of the transaction, as well as the value of the account holder. On its end, NBIN charges the Introducing Broker a ticket fee when a transaction is completed.

For example, an account holder asks their advisor at the firm to trade 100 shares of XYZ at a price of $1,000 a share. The client pays the broker $100,000 and a $100 commission for the trade while NBIN charges the broker $15 for the trade. The difference, $85, is the net IBs' revenue.

It is important to note that there's been an important shift in the industry in recent years and most IBs have moved to a fee-based model where they charge a percentage on assets and no transaction fees.

## Investment Fund Managers

NBIN provides custodial and prime brokerage services to over 110 Investment Fund Managers (IFMs) all of whom are registered with their respective provincial securities commission. Some examples include Baskin Financial, Optimize Wealth, and Gestion de portefeuille stratégique Médici.

They create private pooled and/or mutual funds for investors and ensure that investments within the portfolio are consistent with the fund’s constating documents.

Their activities include:

- Marketing of the investment fund,
- Initiation of trades and monitoring of settlement within the fund,
- Compliance and risk management,
- Supervision of the fund administrator,
- Retaining a portfolio manager which in most cases is the IFM.

NBIN’s *Investment Fund Management* and *Trading* teams oversee the custody of the fund while supporting prescription and investment trades. They provide services including trade execution (i.e., multi-assets, block trades, FX) and settlement.

In addition to the above teams, the NBIN *Prime Brokerage* team offers packaged services to investment funds that use margin/leverage, shorting activities, hedge strategies or over-the-counter derivatives (i.e., FX forwards). They facilitate and coordinate extensive, complex trading in a variety of financial instruments. They act as a single point-of-contact for all transaction processing and administration, across multiple asset classes.

IFMs must also select and partner with a fund administrator who is responsible for fund valuation, record keeping, distributions, tax reporting, and annual audits.

## Partnerships

### Portfolio Management Systems

Most PM firms use a portfolio management system for performance reporting, management fee calculation, investment model/mandate management, a CRM module, and an end-client portal. NBIN partners with three companies with preferred pricing:

- Croesus
- Infinite Investment Systems (commonly referenced to the application Harmony)
- d1g1t.

## SGGG

In Canada, SGGG is one of the leading providers of investment fund services to IFMs such as net asset value calculation, unit holder record keeping (URK), distributions, and tax reporting.

# Annexes

## Annex I: Service Delivery Model

### Your Service Delivery Team

- Dedicated and experienced team of Service Coordinators for your day-to-day support
- Oversee your operational transactions, and inform you of service updates and changes
- Conduct regular meetings with your team to ensure that all operational matters are addressed as required

### Your Regional Relationship Manager

- Works with you to understand your business needs, to offer you optimized solutions and to support your growth
- Consults with you on industry trends and product and service enhancements
- Determines the best custody, trading and complementary services for your business, and offers pricing options that suit your operating model
- Includes you and your team in first class educational training, industry and networking events

### Your Trade Execution Team

- They handle all your trading needs, fast and efficiently
- A General Execution Desk is available for personalized execution of most common security types
- A Block Execution Desk is provided for high touch handling of institutional equity and option orders

### Your Onboarding and Training Team

- A team devoted exclusively to integration and training support
- Provide onboarding assistance from the start to ensure a seamless transition to our platform
- Present, through NBIN Academy, relevant continuous training on systems, processes and trending industry topics
- Deliver flexible skills upgrades through online web modules, paper-based guides and in-person sessions